



# Raising money

Almost every new enterprise needs funding to get it going, and to keep afloat until it turns a profit. Financial help is at hand from a variety of sources, suitable at different stages of start-up growth.

## How it works

Capital for new enterprises comes from two main sources: lenders and investors. Lenders, such as banks, provide debt capital in the form of a loan that is returned with interest. Investors, such as business angels and venture

capitalists (VCs), provide equity capital in the form of a share in the business that may include a proportionate share of control and rewards. Both types of funding can be corporate—from a company—or more quirky and alternative, such as crowdfunding.

## Types of start-up funding

Corporate, traditional, and substantial funding comes largely from banks and VCs, while smaller sums come from more personal sources.

### Lenders

Debt capital most often takes the form of loans paid back with interest.



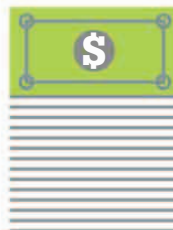
**Term loan** Paid back regularly over a set period of time

- › **Bank** Offers either personal or business loans
- › **Government** Offers low-interest start-up loans
- › **Credit union** Cooperative that gives members low-interest loans
- › **Peer-to-peer (P2P) lending** Unsecured personal loans
- › **Friends and family** May give interest-free loans



**Bank overdraft or credit card**  
Interest charged monthly if balance not paid in full

- › **Bank or credit company**  
Financial organization that makes loans to commercial ventures



**Factoring/invoice discounting**  
Unpaid invoices sold at a discount to a company that collects them for commission

- › **Factors and discounters**  
Companies that offer advance on unpaid invoices, for a profit

### NEED TO KNOW

- › **P2P lending** Loans made between individuals over internet
- › **Crowdfunding** Debt or equity raised via internet platforms